

because no one thought that was the primary objective.”

As I say, there are ways to beat the market over time. But none of these approaches always beats the market. Even the best lag it, and often.

As an individual, though, you have a great advantage in that you can ignore the benchmark chasing.

Keep that in mind before you reshuffle your portfolio after looking at year-end results. Don’t chase returns! And don’t measure yourself against the S&P 500 or any other benchmark. Just focus on trying to buy right and hold on.

Don’t Get Bored

People are dying of boredom.
— Raoul Vaneigem, *The Revolution of Everyday Life*

I was at lunch with a friend of mine and we were talking about the big vote in Scotland on whether it should be independent of the UK. (Its citizens chose to stay.)

Then my friend offered up a reason why many people would vote yes: “They’re bored! They just want something to happen.”

The more I thought about this, the more I thought there might be something to it. Boredom can explain a lot. It can explain all kinds of financial behavior. And there is definitely a “boredom arbitrage” to take advantage of in the markets.

Below, then, is a tongue-in-cheek exploration of my theory of boredom.

Let’s start at the beginning: boredom was invented in 1768 — well, not the concept, but the word “bore” first appeared in the English language in print in that year. So says my copy of the *Oxford English Dictionary*. (And yes, I have the physical copy — all 20 volumes!) The OED defines the word “bore” in this way: “to be weary by tedious conversation or simply by the failure to be interesting.”

Funnily enough, the first usage appeared in a letter by an Englishman complaining about the French to a fellow Englishman: “I pity my Newmarket friends who are to be bored by these Frenchmen.”

“Boredom” — as in “the state of being bored” — came along much